

sounds a note of caution that this pattern should be traded only by the experienced hand.

The performance rank for bearish patterns is top notch, placing fifth where a rank of 1 is best. Bull market performance shows the rank well down the list, at 20 out of 36 pattern types.

Tour

[Figure 71.1](#) shows an example of a V-top after a long and sometimes violent downtrend. The stock formed a rounded top from October 2010 to June 2011 (not shown), then moved sideways for about a month. The stock tumbled, as shown in the chart, forming a V-top. That's an odd place to put a topping pattern (at the bottom of a downtrend), but it qualifies as a valid V-top. Why? Because price climbed substantially during creation of the pattern. In this case, the move from the low at A to the high at B was 28%. If you had to run up a hill that was 28% higher than where you stood, you'd understand the significance.

The stock broke out of the pattern downward when it retraced 38.2% of the rise up from A by definition (that says where the breakout is located and is not a reflection of the continued drop to C). The right side of this pattern almost saw the stock return to the launch price of A, but did not quite make it. Eventually, though, at D the stock dropped below the price of A. After that, the stock began to recover from the carnage of the prior six months.

What this chart shows is typical for the V-top. It's rare that the stock will drop on the right side of the V to the price level of the left side. In my terms, the stock doesn't return to the launch price as often as you'd like or expect.

Let's look at guidelines for identifying V-tops.